BUSINESSES HOUSEHOLD & ENTERPRISE FORMALIZATION IN VIETNAM

Structural barriers & policy responses in the context of Resolution 68-NQ/TW

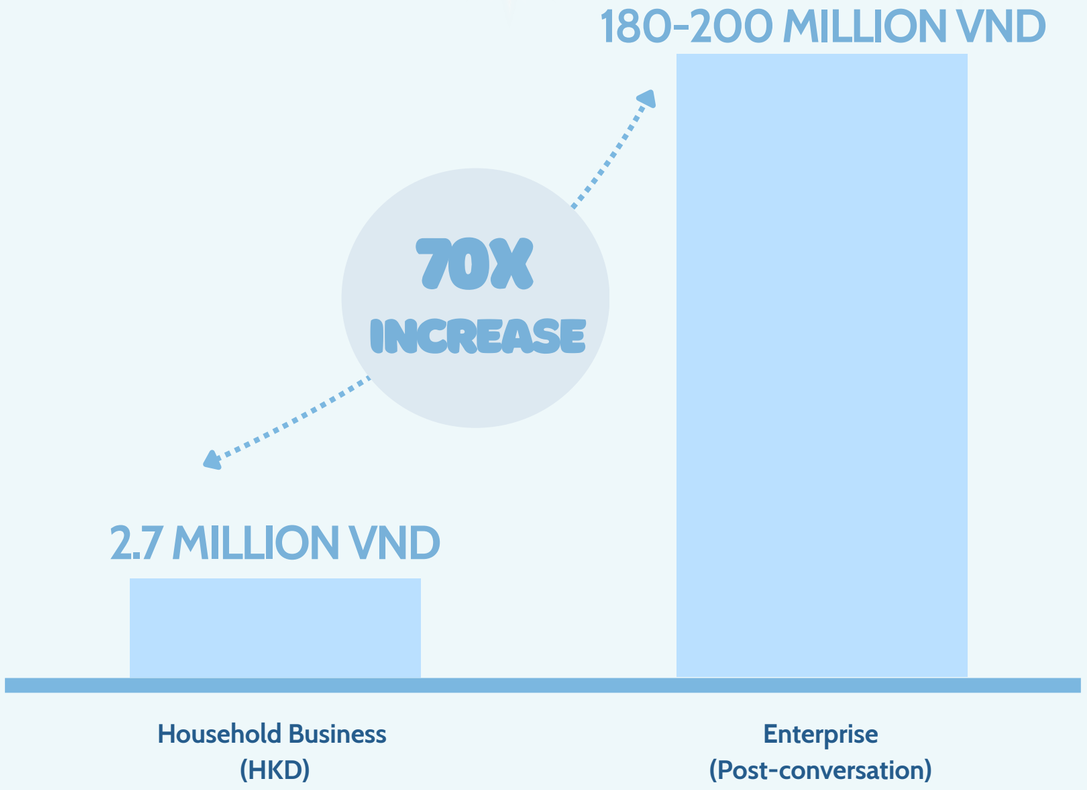


CORE FINDINGS: THE "RATIONAL" BARRIER

Why don't household businesses convert?

THE 70-FOLD COST JUMP (VNEXPRESS, 2025)

- Legally designated director requirements
- Professional accountant mandate
- Supervisory board establishment
- Dedicated business premises obligation



"NON-CONVERSION REFLECTS A RATIONAL ECONOMIC DECISION RATHER THAN A COMMUNICATION FAILURE"

RESEARCH CONTEXT

Research question

What are the primary barriers preventing household business formalization in Vietnam, and how should policy respond in the transformative context of Resolution 68-NQ/TW?

Three reasons this question is urgent right now

- 2 Million Enterprise Target Depends on HKD Conversion
- 2026 Tax Reform Creates a Critical Transition Window
- Limited Research on Reform-Era Conversion Barriers



THE CAPABILITY PERSPECTIVE: INTERNAL BARRIERS

Tradition	Key authors	Core claim	Policy implication	Applied in Vietnam
Regulatory burden	De Soto (1989); Djankov et al. (2002)	Firms avoid high compliance costs	Simplify entry and compliance	Larger HKDs resist conversion
Capability perspective	La Porta & Shleifer (2014)	Small firms lack capability to formalize	Build firm-level capability first	Incentives alone are insufficient

THE EVOLUTION OF FAILURE: VIETNAM'S POLICY HISTORY

1999

Enterprise Law

Created the first legal "pathway" for conversion, but with very little support

Almost no conversions

2017

SME Support Law

Added incentives like fee waivers and preferential tax treatments for new enterprises

Marginal uptake

2023

Resolution 58/NQ-CP

Set a specific target of 8,000–10,000 conversions by 2025

Most localities missed badly

May 2025

Resolution 68/NQ-TW

A qualitative shift in ambition

The Target

2 million enterprises by 2030

Jan 2026

The Stick

Abolition of the "Lump-sum Tax" system

The Digital Mandate

Decree 70/2025 mandates electronic invoicing for HKDs with revenue > 1 billion

THE RESULT

Most localities fell far short of these targets.
Successive cycles of policy have consistently underperformed

INCENTIVE - ONLY FAILURE

Simply giving "carrots" (like fee waivers) was not enough to overcome the structural cost barriers.

THE STRUCTURAL PARADOX OF VIETNAM PRIVATE SECTOR

THE WEIGHT

5.2 MILLION

HOUSEHOLD BUSINESS



~50% of GDP

30% + of state budget revenue

82% of total employment

VITAL BUT INFORMAL



THE GAP

0.9 MILLION

REGISTERD ENTERPRISES



Only 18% of the household business count

2030 TARGET:

2 MILLION ENTERPRISES

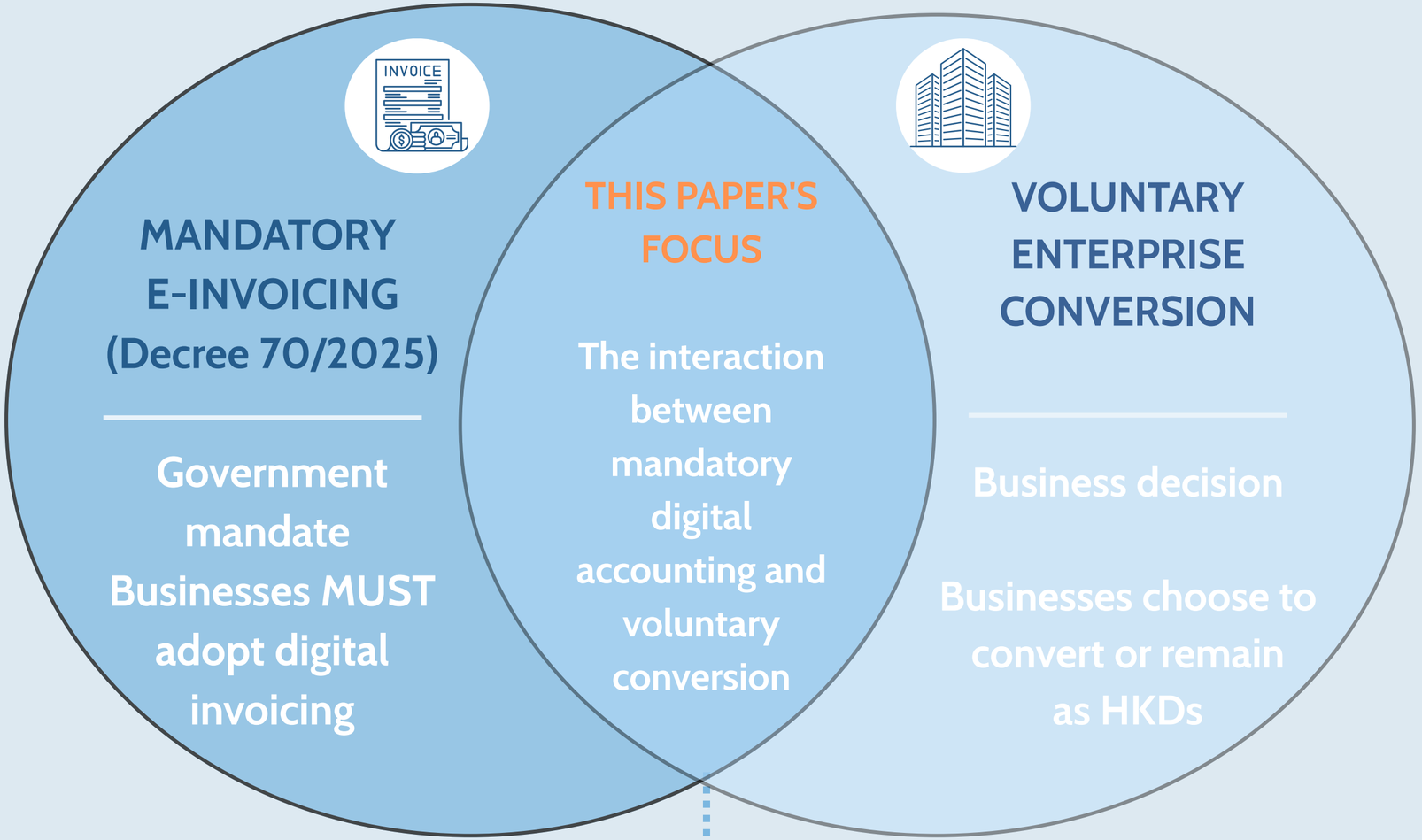
Gap of 1.06 million still needed

FROM “CARROTS” TO “STICKS” : WHY RESOLUTION 68 IS STRUCTURALLY DIFFERENT

Feature	Old Policies (Pre-2025)	Resolution 68 (The New Era)
Nature	Voluntary / Incentive-based	Mandatory / Structural
Tax System	Keep the "Lump-Sum" (Negotiated)	Abolish "Lump-Sum" (Documented)
Logic	"Please convert for these benefits"	"You must change your accounting anyway"
Visibility	Encouraged "Invisibility"	Forces Digital Visibility (E-invoices)

WHY THIS RESEARCH IS UNIQUE ?

(Addressing the Knowledge Gap)



First to analyze this critical interaction within the 2026 transition window

BARRIER 1 : TAX AND ACCOUNTING COMPLEXITY

From Negotiated Habits to Regulated Standards

1. THE "EASE" OF THE CURRENT SYSTEM (LUMP-SUM)

HOUSEHOLD BUSINESS (HKD)

Simple. Negotiated. Invisible.

Minimal Documentation
No need for complex bookkeeping

Negotiated Tax
Fixed annual amounts negotiated with local authorities

Invisibility
Businesses operate in a "low-data" environment

decision to convert

2. THE "SHOCK" OF POST-CONVERSION REQUIREMENTS

ENTERPRISE (POST-CONVERSION)

Complex. Regulated. Visible.

VAS COMPLIANCE
Must follow strict Vietnamese Accounting Standards

Digital Trail
Mandatory e-invoices for every transaction

Complex Filings
Regular VAT and Corporate Income Tax (CIT) returns

Labor Costs
Formal management of payroll and social insurance

3. THE INSTITUTIONAL THEORY VIEW: "HABITS ARE HARD TO BREAK"

- After 20+ years, the lump-sum system is no longer just a tax—it is an "Informal Institution."
- It has become a deeply embedded habit.
- Owners are comfortable with "opacity" (not being seen by the state).

4. THE PARADOX OF DECREE 70/2025

THE INTENT : Dismantle the "habit of opacity" by forcing digital invoices by June 2025

THE RISK : Instead of making owners want to convert, it may simply create "Compliance Anxiety." Owners get the burden of the law without the benefits of being a real enterprise

BARRIER 2: FINANCIAL TRANSPARENCY PRESSURE

The fear that transparency today becomes a penalty for yesterday

1 THE REQUIREMENT

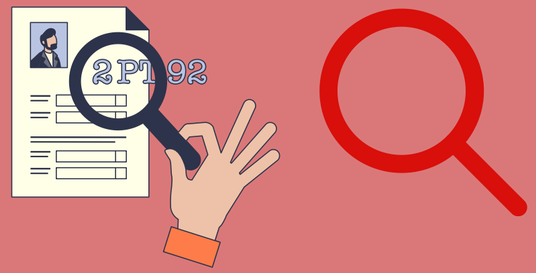
Formal status demands auditable revenue and supply chains



Transparency is a mandatory condition of formalization.

2 THE FEAR

Conversion will expose historical irregularities and trigger audits



In the owner's mind:
Formalization = An Automatic Tax Audit

3 THE GAP

Resolution 68 lacks a formal Amnesty Mechanism (“Fresh Start” policy)





No "Fresh Start" = No incentive to come forward

Without a "Fresh Start" or "Amnesty" provision, owners would rather stay invisible than risk a massive fine for their historical practices

BARRIER 3: REGULATORY VISIBILITY AND INSPECTION FEAR

Breaking the myth that being seen equals being punished.

PROTECTION THROUGH INVISIBILITY

THE INSPECTION GAP

- Registered enterprises face formal government inspections.
- Many HKDs operate “under the radar” with limited regulatory scrutiny.

THE INFORMAL NORM

Owners believe staying invisible provides protection from government attention and inspections

GOVERNMENT INSPECTION



UNDER THE RADAR

In the owner’s mind
“If they don’t see me, they don’t bother me

INFORMATION ASYMETRY

THE LAW (RESOLUTION 68)

Explicitly promises < 1 inspection per year unless a violation is proven.

THE REALITY

Awareness of this protection is minimal among owners (MPI, 2024).

THE PERCEPTION

Despite the law, owners believe that registration is a "flare" that invites unwanted state scrutiny.

PEER -TO-PEER RESHAPING : THE SOLUTION

Government declarations are not enough to break this fear

Owners need to see and hear from other converted businesses that have had positive regulatory experiences

The norm of "hiding" must be replaced by the reality of "protection"

BARRIER 4: CAPACITY AND KNOWLEDGE GAPS

ENTERPRISE REQUIREMENTS

VAS ACCOUNTING

Complex financial reporting & compliance standards

HR LAW

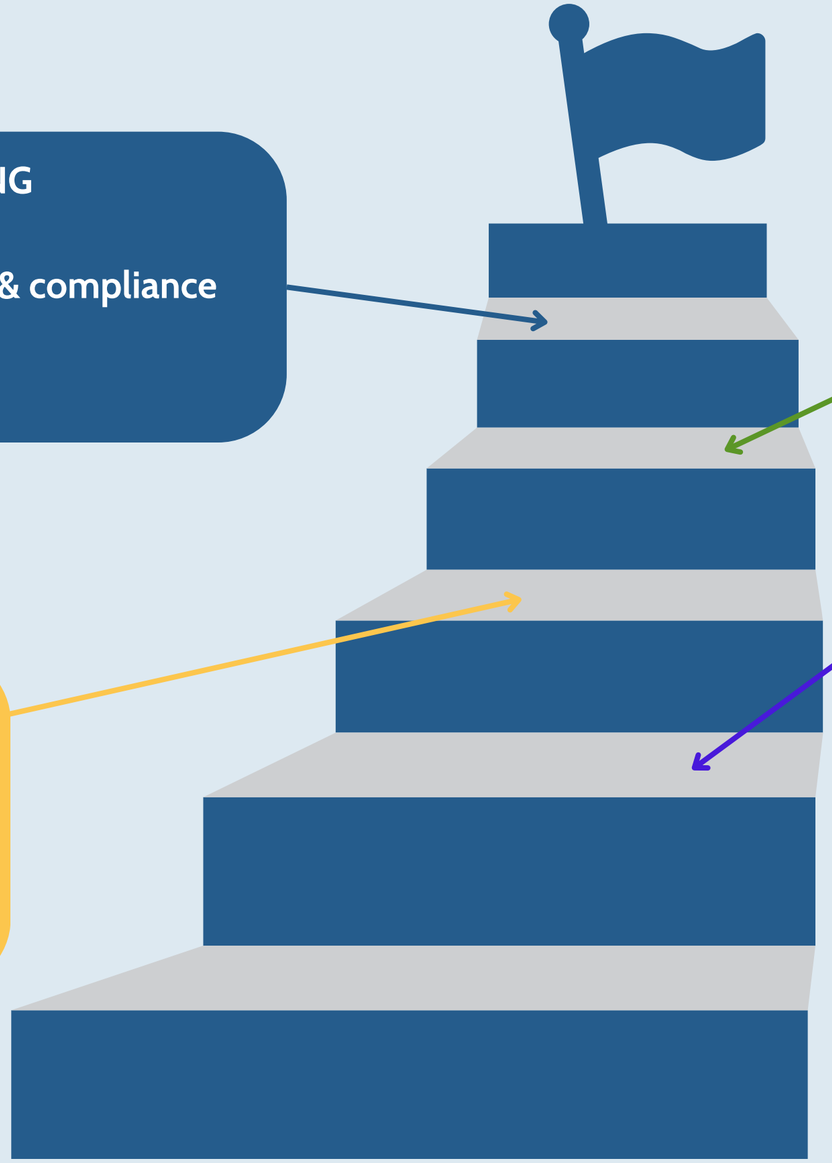
Payroll, labor law & social insurance obligations

STRATEGIC PLANNING

Skills beyond traditional household operations

E-INVOICE

Requires digital literacy & technical adaptation



"Enterprise formalisation represents a major jump in operational complexity"



THEORETICAL FRAMEWORK

MICRO LEVEL

COST-BENEFIT THEORY
(The Rational Actor)

Focus: The individual business owner's decision-making.

Core Logic:
Owners are "Rational Actors." They only formalize if:
Perceived Benefits (Credit access, growth, legal safety) > Perceived Costs (Taxes, accounting, labor costs).

Application to Vietnam: The 70x cost jump makes non-conversion a rational choice, not a mistake. Formalization won't happen until the "math" changes.

MACRO LEVEL

INSTITUTIONAL THEORY
(The Power of Habit)

Focus: The deeply embedded norms, habits, and cultural expectations

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Core Logic:
Formal laws (codified rules) often fail when they conflict with Informal Institutions (cultural habits

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Application to Vietnam: 20+ years of the "Lump-sum system" has created a culture of Invisibility and Opacity. Owners stay informal because it is a "habit of protection" that a new law alone cannot break

THE COMBINED PREDICTION (THE PAPER'S THESIS)
COMPREHENSIVE POLICY REFORM

RECOMMENDATIONS – LOWERING THE BARRIERS

Fixing the" Micro- Level" Math

R1: Streamlined One-Stop Pathway

- **Mechanism:** District-level offices process all paperwork in 5 working days.
- **Incentive:** All first-year registration fees are waived.
- **Goal:** Remove "administrative friction."

R2: Phased 12-Month Tax Transition

- **Mechanism:** Allow new enterprises to use simplified accounting for the first year.
- **Goal:** Prevent the "70x compliance shock" from happening all on day one.

ONE SIZE DOES NOT FIT ALL

R3: Segmented Policy Design

- **Mechanism:** Differentiate support based on size.
- **High-Capacity (>3bn VND):** Active outreach and dedicated support.
- **Small Operators:** Simplified pathways rather than immediate full requirements.

REMOVING FRICTION

SOFT LANDING

RECOMMENDATIONS – BUILDING CAPABILITY & TRUST

Fixing the" Marco- Level" Mindset

R4: Targeted Capacity Building

Mechanism: Free 3-month practical courses in accounting, HR, and compliance.

Partnership: Collaborate with local universities and vocational colleges.

R5: Digital Infrastructure Support

Mechanism: Fast-track free government accounting software

Crucial Addition: Provide in-person technical support at the commune/ward level.

CHANGING THE CULTURE OF INVISIBILITY

BUILDING SKILLS

R6: Evidence- Based Peer Communication

Mechanism: Publicize documented case studies of successful conversions.

Goal: Use "peer narratives" to prove that visibility is safe and growth is possible.

LOCALISED SUPPORT

METHODOLOGY

WHY QUALITATIVE?

Exploratory Research Question

Focuses on understanding barriers, not prediction.

Rapid Policy Change

Resolution 68 reshaped the policy environment after 2025

Policy-Oriented Objective

Designed to generate actionable policy insights.

DATA SOURCE

Government & Legal Documents

- Resolution 68-NQ/TW
- Enterprise Law 2020
- Decree 70/2025

Statistical & Institutional Data

- GSO
- Ministry of Finance
- CIEM & MPI reports

Media & Investigative Sources

- VnExpress
- Nhân Dân
- Báo Chính phủ

METHODOLOGY

Three-stage analytical procedure

Map the current institutional landscape

Identify and categorize barriers through cross-source triangulation, using the dual framework as an interpretive lens

Derive policy recommendations calibrated to the 2026 reform context, tied to each barrier's theoretical mechanism

LIMITATIONS AND FUTURE RESERCH

LIMITATIONS	FUTURE RESEARCH
Relies primarily on secondary data and national-level policy analysis	Conduct primary surveys and semi-structured interviews with HKD owners
Barrier intensity may differ across regions, industries, and HKD size categories	Compare conversion behavior across sectors and provinces
Limited empirical evidence available following Resolution 68 implementation	Longitudinal tracking of post-January 2026 conversion rates to evaluate whether mandatory formalisation triggers change business behavior



THANK YOU!